

# The world in brief

Catch up quickly on the global stories that matter



Photograph: Reuters

Four ministers resigned from **Sir Keir Starmer's** government as pressure mounts on him [to stand down](#) as Britain's prime minister. Over 80 Labour MPs have called for his resignation after last week's local election disaster. But the party is split: more than 100 MPs signed a letter saying this is "no time for a leadership contest". Sir Keir has vowed to remain.

America's Senate confirmed **Kevin Warsh** to the Federal Reserve's board of governors, clearing the way for a vote on his [nomination for chair](#) this week. He will face the difficult task of containing inflation while resisting Donald Trump's demands for lower interest rates. **Consumer prices** rose by 3.8% year over year in April—the fastest pace in three years—as the war in Iran drove up energy costs.

**Mr Trump** suggested he would not prioritise discussing **Iran** with **Xi Jinping**, as he departed for Beijing ahead of a [highly-anticipated meeting](#) with China's president. Earlier Pete Hegseth, **America's** war secretary, insisted that the [ceasefire](#) with Iran remains intact even as he hinted at plans to re-escalate the war if necessary. The war has cost America \$29bn so far, according to the Pentagon.

**Sam Altman** took the stand to refute allegations that he broke a vow to keep OpenAI a nonprofit. A [lawsuit](#) brought by **Elon Musk**, who founded the AI lab alongside Mr Altman over a decade ago, accuses him of trying to “steal a charity”. Mr Altman rejected the claim, describing the for-profit arm as a “creative way” to keep OpenAI going.

A federal appeals court paused, for now, a ruling by the United States Court of International Trade against Mr Trump’s 10% **tariff** on all imports to America. The president imposed the levy in February, citing a law from 1974, after the Supreme Court [blocked the bulk of his earlier tariffs](#). Last week the trade court ruled that Mr Trump misused the statute; his administration appealed.

**eBay** rejected a \$56bn takeover bid from **GameStop**, a video-game seller, calling it “neither credible nor attractive”. GameStop’s offer is more than five times its own market value, prompting skepticism of its ability to fund the proposed deal. In a letter to GameStop’s chief executive, [eBay’s](#) chairman said the company was also put off by uncertainty around GameStop’s “governance and executive incentives”.

The remaining crew and passengers aboard the *MV Hondius*, a cruise ship hit by an outbreak of **hantavirus**, left the vessel. The World Health Organisation has so far confirmed 11 cases of the [rodent-borne virus](#). Three people have died. The UN agency said there is “no sign” of a larger outbreak, though France’s health minister did not rule out a mutation of the circulating strain.

**Figure of the day:** 15%, the share of global tantalum supplied by Rubaya, a town north-west of Goma in the Democratic Republic of Congo. [Read why](#) <sup>M23</sup>, a Congolese militia, wants to sell critical minerals to Donald Trump.



Photograph: Getty Images

## America's coming grocery-price shock

How expensive could [American groceries](#) get? Consumer-price index data for April offered some worrying clues. Inflation rose 3.8% year on year—the fastest pace in three years—as the war in Iran pushed up the cost of food and petrol.

The energy-price shock from the Iran war is reverberating through supply chains. [Farmers](#) face much steeper fertiliser and fuel costs. Donald Trump's tariffs are also making imports pricier; tomatoes, which America mostly imports from Mexico, cost almost 25% more than they did a year ago.

But the greatest pressure on prices may come from the next two stages of the supply chain: packaging and transport, which rely on oil. The soaring cost of plastic, derived from fossil fuels, will mainly impact prices of the thickly wrapped products in the home-care and beauty aisles. Transport accounts for as much as half of the supply chain's oil consumption. Americans may find the knock-on effects hard to stomach.



Photograph: Office of the Secretary of War Public Affairs

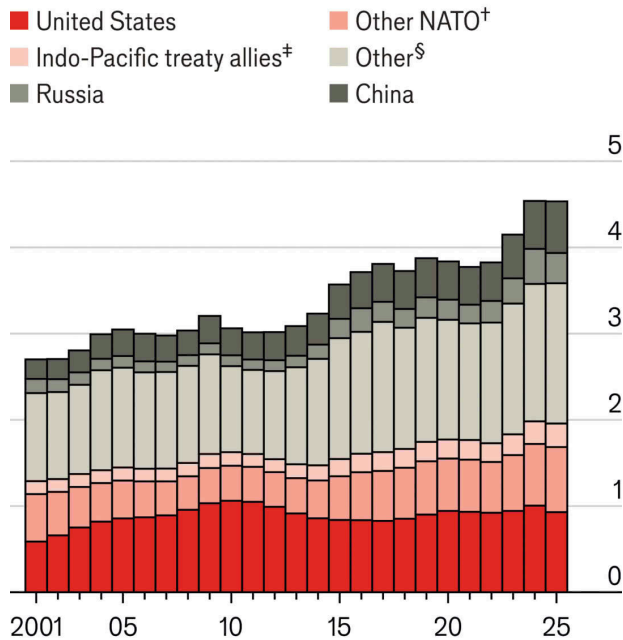
## The global arms race

On Tuesday Pete Hegseth, America's secretary of war, will appear before a Senate committee to defend the administration's proposal to raise Pentagon spending by more than 40%, to around \$1.5trn in 2027. The record request will face a difficult path through Congress, where Democrats and fiscal conservatives alike are sceptical. The war in Iran has further complicated matters. During a similar hearing in the House of Representatives last month, Democrats spent hours grilling Mr Hegseth over the conflict, which has so far cost America at least \$29bn.

America is not the only country spending more on arms. In real terms, global military expenditure rose for the 11th straight year in 2025, according to [our annual ranking](#), based on data from SIPRI, a think-tank. European countries, seeking to reduce their reliance on America, accounted for more than half the increase. Indeed, by one measure America's principal allies collectively outspent it in 2025. If Mr Hegseth gets his way, America could soon reclaim the lead.

## On target

### Military spending at military purchasing-power parity\*, \$trn, 2024 prices



\*Adjusting spending to reflect cost and wage differences with the United States

<sup>†</sup>Membership at 2025. Excluding United States

<sup>‡</sup>Australia, Japan, South Korea, Thailand and the Philippines

<sup>§</sup>Does not include all countries as estimates

for some are unavailable, notably North Korea

Sources: SIPRI; P. Robertson, The University of

Western Australia; *The Economist*



Photograph: Getty Images

## **Samsung faces its unions**

On Tuesday Samsung Electronics will aim to conclude negotiations with workers to avert a strike. Unions want the South Korean tech champion to remove caps on bonuses; they are also demanding that 15% of operating profits be paid to chip-division employees every year—worth around \$34bn, based on projections for 2026. If no deal is reached, nearly 40,000 workers will begin an 18-day strike next week, hurting the firm's growing semiconductor business.

A walkout on this scale would be sorely felt in South Korea's wider economy. The company's valuation soared past the \$1trn mark earlier this month thanks to voracious demand for its artificial-intelligence memory chips. That sent the country's benchmark index, the KOSPI, to a record high. South Korea's stock market is now the world's seventh largest. Given its giddy ascent, one wobble could bring it down.



Photograph: Getty Images

## **America keeps an eye on the Bahamas**

Philip Davis, the Bahamas' prime minister and leader of the populist Progressive Liberal Party, is seeking re-election on Tuesday. The election will be closely watched by American officials, who are observing it after the opposition leader, Michael Pintard, voiced concerns over voter fraud.

America was already displeased with the Caribbean country, which lies about 50 miles from Florida. Its ambassador has publicly criticised the archipelago for borrowing \$285m of Chinese money to build a state-of-the-art hospital. Chinese firms also operate two of its major ports. That irks Donald Trump, who is trying to reassert American influence in the region.

Mr Davis has tried to mollify the Trump administration. Last year, he promised to renegotiate a health-care agreement with Cuba that had drawn America's ire. And ahead of the election he hired Roger Stone, a political adviser pardoned by Mr Trump, and C.J. Pearson, a MAGA influencer, to help "build stronger relations" with America. More such manoeuvres may be needed before long.





Illustration: Sandra Navarro

## Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

**Tuesday:** Which American president was born in a town called Hope?

**Monday:** Which Renaissance artist had a sideline as a military engineer for Cesare Borgia?



*Calm and order can be just as dangerous to democracy as uneasiness and disorder.*

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***Hildegard Hamm-Brücher***